

GILT · FY2025 Q4

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Operator

Gil Benyamini

Chief Financial Officer

Chris Quilty

Analyst, Quilty Space

Louis DePalma

Analyst, William Blair

Sergey Glinyanov

Analyst, Freedom Broker

Sanjay Harry

Alliance Advisors Investor Relations

Adi Svadia

Chief Executive Officer

Gunther Calder

Analyst, Discovery Group

Ryan Coons

Analyst, Mademan Company

CONFERENCE OPERATOR Operator

Ladies and gentlemen, thank you for standing by. Welcome to the last fourth quarter 2025 results conference call. All participants are at present in listen-only mode. Following the management's formal presentation, instructions will be given for the question and answer session. For operator assistance during the conference, please press star zero. As a reminder, this conference is being recorded February 10, 2026. By now, you should have all received the company's press release. If you have not received it, please view it in the news section of the company's website, www.gilat.com. I would now like to hand over the call to Mr. Sanjay Harry of Alliance Advisors IR. Mr. Harry, would you like to begin, please?

SANJAY HARRY Alliance Advisors Investor Relations

Thank you, Hila, and good morning, everyone. Thank you for joining us for Gilat Satellite Network's earnings conference call for the fourth quarter and full year 2025. With us on today's call are Mr. Adi Svadia, Gilad's CEO, and Mr. Gil Benyamini, Gilad's Chief Financial Officer. The earnings press release was issued earlier today, and if anyone has not yet received a copy, I invite you to visit the company's website, www.galat.com, where you'll find the release in the investor relations section. Before turning the call over to management, I would like to remind everyone that some statements made during this conference call contain forward-looking statements based on current expectations. Actual results could differ materially from those projected as a result of various risks and uncertainties. The potential risks and uncertainties that could cause actual results to differ materially include uncertain global economic conditions, reductions in revenues from key customers, delays or reductions in U.S. and foreign military spending, acceptance of the company's products on a global basis, and disruptions or delays in the company's supply of raw materials and components due to business conditions, global conflicts, weather, or other factors not under its control. The company cautions investors to not place undue reliance on forward-looking statements, which reflect the company's analysis only as of today's date. The company undertakes no obligation to publicly update forward-looking statements to reflect subsequent events or circumstances. Further information on these factors and other factors that could affect Gallaud's financial results is included in the company's filings with the Securities and Exchange Commission. In addition, on today's call, management will refer to certain non-GAAP financial measures that management considers to be useful and differ from GAAP. These non-GAAP measures should be considered

supplemental to corresponding GAAP figures. With that, I would like to turn the call over to Gilad's CEO, Mr. Adi Svadio. Please go ahead, Adi.

ADI SVADIA Chief Executive Officer

Thank you, Sanjay, and good day, everyone. Thank you for joining us today to discuss Gilad's fourth quarter and full year 2025 results. I am pleased to report that we closed both the quarter and the year with strong performance. The fourth quarter capped a very solid 2025, reflecting consistent execution across our commercial, defense, and Peru businesses, as well as continued strategic progress. 2025 was a year of significant acceleration of our revenue growth. Fourth quarter revenue reached \$137 million, up 75% year-over-year, and full-year revenue rose to \$451.7 million, up 48%, with 6% year-over-year organic growth. Adjusted EBITDA also saw significant growth, with the fourth quarter reaching \$18.2 million, 50% above the same quarter last year. The full-year adjusted EBITDA hit \$53.2 million, 26% growth year-over-year. Overall, 2025 was a good and successful year for the company. Now on to the business review. I will start with the defense. Military forces are increasing their dependence on resilient satellite connectivity to support mobility, real-time intelligence, and operations in contested environments. This shift favors suppliers with proven scalable systems, strong track records, and the ability to leverage commercial technology to the defense market, all of which are attributes of Gilad Defense. Gilad Defense is gaining steady demand from long-term defense programs, ongoing upgrades, and consistent Satcom spending, giving the business clear visibility into future growth. This strengthened Gilad's broader defense portfolio and supports companies' ability to capture a larger share of growing markets that values the capabilities we provide. In 2025, our defense business delivered strong irreversible growth in new order bookings, expanding customer engagement, and an addressable market. We achieved a record year for Gilad Defense sales, driven by increased demands from U.S. and allied defense customers for transportable, high-performance start-up solutions. This system continued to gain traction as defense organizations prioritized flexibility, rapid deployment, and resilient connectivity across diverse operational environments. The fourth quarter, marked two important milestones for the business. First, we expanded into a new market segment, Earth Observation, with an approximately \$10 million order for a direct downlink solution. This system enabled rapid acquisition of satellite imagery and data directly from space to a transportable ground terminal, supporting near real-time intelligence and situational awareness in remote or contested environments. Our transportable platform provides fast deployment, resilient and reliable operation. Also in the fourth quarter, we saw continued traction in Israel, securing significant orders across our defense portfolio and expanding the deployment of our solutions in the region. Our decision to shift more resources into Gilad Defense, expand the sales team and increase R&D investment are now clearly strengthening Gilad's position in the defense market. Our defense pipeline remains strong, supported by sustained global demand for secure, resilient SATCOM solutions. Turning to our commercial business, demand for advanced IFC continues to accelerate, fueled by free Wi-Fi, growing passenger expectations for high-bandwidth applications, and increasing adoption of NGSO and multi-orbit architectures across the aviation ecosystem. This trend aligns directly with Gilad's trend and long-term strategy. Our commercial business delivered a strong fourth quarter in early 2025, reflecting continued wins, growing customer adoption, and consistent performance across our key programs. As satellite operators accelerating investment in next-generation networks, our platform continued to be selected for the scalability, flexibility, and ability to support multi-orbit mobility-driven services. SkyH4 remained a central growth driver throughout the year. During the fourth quarter, we received a \$42 million order from a leading global satellite operator for our multi-orbit platform, primarily supporting IFC services. During the fourth quarter, we added two new SkyH4 customers in Asia Pacific. We continue to expand deployments with leading satellite operators as they invest in flexible software-defined ground networks. These awards reinforce SkyH4's role as a core platform for large-scale next-generation satellite networks. We also strengthen our presence in Asia-Pacific with a SkyEdge platform order for approximately \$11 million from a leading regional satellite operator to provide services over VHDF satellites supporting multiple commercial applications.

In addition, we received more than \$16 million in orders for Gilad Wasteland Gateway solid-state power amplifiers to support LEO constellations, highlighting growing traction for our solutions as LEO networks move from deployment into operational phases. Airlines and system integrators expanded the adoption of our IFC technology for next-generation aircraft connectivity. During the fourth quarter, we received a \$7 million order for Gilad Wavestream AeroStream box. These units will be deployed as part of next-generation IFC solutions to be installed on commercial aircraft. StellarBlue is now fully integrated into Gilad's operations, and we are benefiting from cross-company synergies. Gilad StellarBlue plays a key role in our IFC leadership position, with enhanced offering that drives further growth for ISA in the IFC sector. Production is ramping up, and during the quarter we delivered approximately 190 terminals, and we expect increased deliveries with improved margins in the coming quarters. At our event, we have a significant backlog that will be delivered in 2026 and beyond, based mostly on orders received during 2025. To date, more than 420 aircraft are online with our ESA terminal, and, cumulatively, over 1 million passengers are being served each week with our modems and ESA solutions. Continuing this progress, we received a multimillion-dollar order for our Sidewinder ESA terminal from a large global avionics company, underscoring the advantage of our high-performance, lightweight, low-profile configuration that is compatible with both GEO and LEO satellite constellations. Overall, our commercial pipeline remains strong as operators transition to multi-orbit architectures to support additional services, positioned as well for continued growth into 2026. Moving to Peru, Gilad Peru delivered exceptional results during the year, closing more than \$85 million in agreements from PONATEL for the upgrade of four regional networks. These awards clearly reinforce Gilad's Peru role as a key technology and solution partner for large-scale national connectivity initiatives. These projects, which are progressing ahead of schedule, are advancing Peru's digital inclusion objectives by enabling public Wi-Fi hotspots and high-speed connectivity to public institutions such as schools, health centers, and police stations. Looking ahead, we see this progress continuing. We expect additional large RFPs and follow-on orders during 2026, positioning Peru as an important contributor to GILAC's long-term growth in large national digital inclusion programs. Our backlog is growing with a strong, healthy, and diverse pipeline of opportunities in each of our divisions. As such, we expect another year of top-line and profit growth. We expect 2026 revenues to be between \$500 and \$520 million. We expect adjusted EBITDA to be between \$61 and \$66 million. To summarize, 2025 was a strong year for Gilad, marked by a good fourth quarter, record performance in key segments, meaningful customer wins, and significantly strengthened balance sheets. We are entering 2026 with a strong momentum across the company. In defense, we will focus on driving revenue growth throughout business development, R&D investment, and portfolio expansion, further strengthening our position. We intend to pursue opportunities in government and sovereign communication programs worldwide. In commercial, we will continue to drive adoption of our IFC product portfolio and expand our offering for next-generation aircraft connectivity further strengthening our leadership position in IFC. We will also focus on expanding our SkyH4 customer base. In Peru, we plan to expand our footprint by participating in new digital inclusion initiatives and network expansion projects, building on our proven execution and local presence. Gilad is accelerating its competitive advantage throughout continued technology leadership in multi-orbit connectivity and development of advanced 5G NTN capabilities. Mergers and acquisition will be a key strategic focus, with primary emphasis on defense-related capabilities that complement our existing strengths. Gilad entered 2026 with a strong balance sheet and with additional \$100 million equity placement in the fourth quarter, bringing total capital raised in 2025 to \$166 million. This investment enhances our ability to pursue strategic opportunities and build on the milestones achieved this year. I would like to thank our employees for their commitment and performance, and our customers and partners for their continued trust. And with that, I will hand over the call to Gil, our CFO. Gil, please go ahead.

GIL BENYAMINI Chief Financial Officer

Thank you, Adi. Good morning and good afternoon to everyone. Before I dive into the numbers, I would like to remind everyone that our financial results are presented both on GAAP and non-GAAP basis. I will now walk through

our financial highlights for the fourth quarter of 2025. As Adi mentioned, we delivered a strong quarter and year, demonstrating continued execution across our strategic priorities and building momentum into 2026. In terms of our financial results, Revenues for the fourth quarter were \$137 million, representing a 75% growth compared with \$78.1 million in Q4-24. Importantly, our organic growth quarter of the quarter was 28%. For the full year, revenues totaled \$451.7 million, reflecting 48% growth from \$305.4 million in 2024. The growth was primarily driven by the in-flight connectivity vertical. In terms of the revenue breakdown by segment, Q425 revenues for the commercial segment were \$75.1 million compared with \$37 million in the same quarter last year. The 103% growth was primarily driven by the in-flight connectivity vertical, mainly reflecting the contribution from Stellar Blue. Q425 revenues for the defense segment were \$33.3 million 14% higher than 29.4 million in the same quarter last year. Q4 25 revenues for the Peru segment were 28.5 million compared with 11.8 million in Q4 24. The increase was driven primarily by higher revenues related to new upgrade projects in four of the six regions in which we operate. Our gap gross margin in Q4-25 was 28% compared with 40% in Q4-24. The decrease is primarily attributable to lower margins at StellarBlue as production ramps up, as well as an additional \$2.9 million of amortization of purchased intangibles related to the acquisition. Gap operating expenses in Q4-25 were \$25.3 million compared with \$18.3 million in Q4-24. The increase was primarily driven by the consolidation of StubBlue expenses, amortization of acquired intangible assets, and stock-based compensation, mainly related to acquisitions. As a result, gap operating income in Q4-25 was \$13 million, compared with GAAP operating income of 12.8 million in Q4-24. GAAP net income in Q4-25 was 8.8 million or a diluted income per share of 13 cents compared with GAAP net income of 11.8 million or diluted income per share of 21 cents in Q4-24. The decrease in net income mainly reflects higher financing costs associated with a loan taken to finance Stellar Blue acquisition together with higher tax expenses during the quarter. Moving to non-GAAP results, our non-GAAP gross margin in Q4 25 was 31% compared with 40% in Q4 24. Non-GAAP operating expenses in Q4 25 were 26.6 million compared with 21.9 million in Q4 24. The increase was primarily driven by the consolidation of Stella Blue operating expenses. Non-GAAP operating income in Q4-25 was \$15.2 million compared with \$9.7 million in Q4-24, and non-GAAP net income in Q4-25 was \$13.4 million, or a diluted income per share of \$0.20, compared with a net income of \$8.5 million, or income per share of \$0.15 in Q4-24. The adjusted EBITDA in Q4-25 was 18.2 million, a 50% increase compared with an adjusted EBITDA of 12.1 million in Q4-24. For the full year, adjusted EBITDA was 53.2 million, 26% increase compared with an adjusted EBITDA of 42.2 million in 2024. Moving to the balance sheet and cash flow. Over the past several quarters, we significantly strengthened our balance sheet and liquidity position. In September and December 2025, the company completed capital raises totaling \$166 million from leading institutional and accredited investors in Israel. In December 2025, we also repaid an outstanding \$60 million loan that had originally financed the acquisition of StellarBlue. In the fourth quarter of 2025, we used about \$6.3 million of cash on operating activities. And on the full year basis, we generated approximately \$21 million of operating cash flow in 2025. As a result, as of December 31st, 2025, total cash, cash equivalents, restricted cash, and short-term deposits were 185.4 million, or approximately 183.4 million net of loans. compared with \$95.6 million as of September 30, 2025. PSOs, which exclude receivables and revenue of our terrestrial network construction projects in Peru, were 88 days. Our shareholders' equity as of December 31, 2025, totaled \$500 million, compared with \$391 million on September 30, 2025. resulting mainly from the capital raise and earnings. Looking ahead, reflecting our strong backlog and our visibility into 26, we expect 2026 revenues of between 500 and \$520 million, representing 13% growth year over year at the midpoint. We expect an adjusted EBITDA of between 61 and \$66 million, 19% growth at the midpoint. We expect 2026 commercial segment revenues of between 315 to 335 million, 16% growth at the midpoint. Decent segment revenues of between 115 to 130 million, a 22% growth at the midpoint. And revenue of Peru segment of between 60 to 65 million, an 11% decrease at the midpoint due to lower construction revenue in 2026 and shift to operation days compared to 25. That concludes my financial review. I would now like to open the call for questions. Operator, please go ahead.

CONFERENCE OPERATOR Operator

Thank you. Ladies and gentlemen, at this time, we will begin the question and answer session. If you're dialing in, please press star 1. If you're connected via Zoom, please use the raise hand button located at the bottom of your screen. Your questions will be pulled in the order they are received. Please stand by when we pull for your questions. The first question is from Ryan Coons of Mademan Company. Please go ahead.

RYAN COONS Analyst, Mademan Company

Thanks. Appreciate the question. Nice quarter, guys. On the defense side, you know, given kind of some of the puts and takes been going on with U.S. budget process and how you're thinking about this year, maybe can you update us on your visibility as it relates the defense market, both in the U.S. and any international traction you might have? Thank you.

ADI SVADIA Chief Executive Officer

Hi, Ryan. On the visibility to the defense, generally when we are entering a year, we have between 50% to 60% of the revenues are already in backlog from the guidance. So we have a relatively good visibility. We have some large projects that we are working on that can secure the year during the first half of the year. We don't see any effect of the recent shutdown in the U.S. administration. We see increased budget and a lot of traction both in the U.S., in Israel, and in Europe. when a defense organization requires satellite connectivity.

RYAN COONS Analyst, Mademan Company

That's great, thanks. And maybe shifting gears to IFC a bit, can you update us on your roadmap there for LineFit? I know you've been looking forward to that, and maybe an update on the competitive landscape in IFC.

ADI SVADIA Chief Executive Officer

Sure. So on the LineFit, as we said in the past calls, we are progressing with Boeing LineFit, We expect to pass certification during the first half of the year and start delivering in the third quarter. So it seems promising and on track. With Airbus, we are in initial phases. So it takes some time and probably will drag us to next year. But this is based on initial expectations. So we didn't expect revenues from Airbus line fit in 2026. Competitive landscape, state give or take the same. There are a lot of traction. Both SCS and Panasonic have decent awards. Not everything is published yet, so we do see their forecast, and we do expect some large orders coming in in the first half of the year, hopefully this quarter. As I said in my script, most of the guidance is already covered with existing backlogs that we have, that we received mostly in 2025. So all the orders that we expect to get during 26 probably will be recognized in revenues in 2027.

RYAN COONS Analyst, Mademan Company

That's terrific. Thanks. Maybe just... Catching on Peru, I know that business can be a bit lumpy. I think they have an election plan coming up. Can you maybe talk to the kind of cadence that you expect the Peru business to unfold this year?

ADI SVADIA Chief Executive Officer

Sure. So in Peru, during 2025, we got the word of upgrading four regional networks that we maintain. We are in discussion with the government to upgrade the remaining two projects We believe that we'll be able to close it before the election in the second quarter. In parallel, there are a lot of internal discussion in Peru of very large RFPs for internet connectivity, both terrestrial and satellite, in Peru. So we expect to participate in those RFPs. A lot of traction in

Peru. We don't believe that the election will cancel any of those RFPs. Probably we'll see most of the RFPs during the first quarter and during the fourth quarter of the year.

RYAN COONS Analyst, Mademan Company

Really helpful. Thanks. I'll get back in the queue. Thanks, Brian.

CONFERENCE OPERATOR Operator

The next question is from Sergey Glinyanov of Freedom Broker. Please go ahead.

SERGEY GLINYANOV Analyst, Freedom Broker

Good morning, gentlemen. So you provide pretty positive guidance for defense. And you mentioned new area to expand operations in Earth Observation Solution. But could you put some colors on this contract and its margin profile? Could it be a significant driver for defense revenue this year? And do you expect defense order acceleration in Q1 compared to Q4? Thank you.

ADI SVADIA Chief Executive Officer

Nice, okay. So, you know, I'll start with a general comment on the defense. We saw in revenues a relatively small growth year over year. This is mainly due to the previous shutdown of the U.S. administration that caused some delays in orders. We didn't lose any deals, but because some of the revenues are recognized based on projects' progress and if the orders arrive late, we are unable to recognize revenue. So we'll see it in 2026. We did see very nice, more than 35% year-over-year growth in orders getting in. As for the earth observation, it typically has the same margin profile that we see on those kinds of deals, which is give or take the average of Gilad. Between, I would say, 30 to 40%. Great.

SERGEY GLINYANOV Analyst, Freedom Broker

Thank you. That's all for me.

CONFERENCE OPERATOR Operator

The next question is from Louis DePalma of William Blair. Please go ahead.

LOUIS DEPALMA Analyst, William Blair

Great. Adi and Gil, good afternoon. Hi, Louis. Hi, Louis. How are you? Excellent. private placement, what areas of M&A are you targeting?

ADI SVADIA Chief Executive Officer

That's a very good question. So first of all, we are open to, we are not limiting ourselves to a specific segment, but our main focus is on the defense. On one hand, we want to increase our market presence, both in the U.S., but we are also focusing on Europe, there is a lot of business in Europe, a lot of budget, especially because of the Russian-Ukraine war and conflict between the Trump administration and the European countries. So they want to control their own destiny and increasing their investment in defense. And we see also a lot of traction in secure satellite communication. So we are targeting also companies over there. Our main focus is to bring businesses, not to buy technology. And we'll continue to look for companies with great potential. It's something that can be significant to the company's revenues, so it could be with revenues of \$50 million and above, or maybe \$100 million and above, and it should be accretive as soon as possible. It's not that we will not buy a company that needs a turnaround, and we know how to do that. We did that in DataPass. We bought a company with less than \$40 million in revenues, and close to break even, and now it's almost double their revenues. We're also looking to expand our addressable markets in adjacent markets. For example, radar solutions, electronic warfare, and things like that. But it will be... something that we are considering. We are doing

internal work to define exactly where we want to focus, but also we might be opportunistic here. In addition, we invested in the past in a startup with unique technology, a company called CrossSense, and we'll continue to look for unique technologies, either a minority investment or taking control, But it's not something that's going to change the overall financials of the company.

LOUIS DEPALMA Analyst, William Blair

Great. And secondly, did StellarBlue attain the second milestone related to the \$120 million in new backlog by the end of December?

ADI SVADIA Chief Executive Officer

So, no, they didn't attain the earn-out milestone. They achieved around slightly above half of it. A very large order that we are expecting to get slipped into 2026. We know that it's being processed. We expect to get it, if not by the end of this quarter, so early next quarter. It's not affecting our revenues for 2026 because revenues for 2026 are already in the backlog. There is nine to 12 months lead time on the main components of the terminal, so we are pretty close for 2026. We can affect it here and there, but not materially. The order that we are expecting should be delivered mainly in 2027, and since we need to deliver it based on customer needs. If it will arrive today or in two months, it's not really a big issue from our perspective. I would like to emphasize that from our perspective, both the risk of delivery and the risk of new business is mitigated. We see the very good acceptance of the antennas in the market, the very good quality, the availability of more than 95%, more than 420 aircraft are connected, and more than 500 delivered in 2025. So we know for a fact that the risks that we wanted to mitigate are mitigated, and we do expect to see future growth.

LOUIS DEPALMA Analyst, William Blair

And what was Stellar Blue's revenue in 2025, and what is the general projection for growth in 2026?

ADI SVADIA Chief Executive Officer

So revenues for 2025 were about \$127 million, within the range that we gave, between \$120 million to \$150 million. Today, Stellar Blue is, in 2026, closely integrated with Gilate International, with Gilad business, so it's hard to break the P&L. We do expect that from revenue perspective to see a double-digit growth in unit deliveries.

LOUIS DEPALMA Analyst, William Blair

And one final one. Did you previously indicate that you made progress with Airbus or the inclusion of Sidewinder into its line fit program?

ADI SVADIA Chief Executive Officer

So we do have an agreement together with SCS to bring the Sidewinder to be line fit with Airbus and SCS will be able to install the Terminal within Airbus premises. It's not yet part of the official Airbus plan of HBC plus.

LOUIS DEPALMA Analyst, William Blair

Great. Now that is still seems fairly positive.

ADI SVADIA Chief Executive Officer

Thanks. I agree. Thank you, Louis. See you soon.

CONFERENCE OPERATOR Operator

The next question is from Chris Quilty of Quilty Space. Please go ahead.

CHRIS QUILTY Analyst, Quilty Space

I just want to follow up a little bit on StellarPool. I think the other or the next set of milestones they were targeting were some of the large strategic contracts. I think those are separate from the large order you just mentioned, which is more of a commercial customer. Can you give us an update on, you know, how they're progressing on some of those strategic orders?

ADI SVADIA Chief Executive Officer

Chris, you're a bit disconnected. Can you repeat the question, please?

CHRIS QUILTY Analyst, Quilty Space

The question was whether you've made any progress with StellarBlue on some of the strategic opportunities that they're pursuing.

ADI SVADIA Chief Executive Officer

Okay. So you are referring to the third earnout. We are making some progress with one company that we cannot name yet. It's progressing well. I don't know if we'll be able to close everything by the end of the milestone, which is by June, but it seems promising. We are progressing. I want to remind you that it's not just signing the agreement. It has some technical condition as well. It needs to come with a minimum order, the commitment of at least \$35 million with a gross profit, which is significant. almost double the gross profit that the original unit booked had, and come with a relatively significant down payment. The discussion with the customer seems like applying to those conditions, but it's still in early stages, so I cannot comment if it will be closed or not.

CHRIS QUILTY Analyst, Quilty Space

I understand. And would those products require significant changes in manufacturing or design? And where do you currently stand in the production range?

ADI SVADIA Chief Executive Officer

So those future products might require a significant design. A lot of our products and a lot of our design changes are production. approved relatively quick because StellarBlue expertise is with those certification and working based on qualification by similarity. But in some of the cases, we are offering a different variation of the terminal with a cheaper design. It really depends on the customer. In terms of production, we said at the beginning, of the year that we expect to reach to 60 to 70 units per month. So we reached this run rate. During the fourth quarter we delivered 190 full terminals, including on top of it we delivered some spare parts. We can increase this production rate with relatively small capital investment, but right now This production rate is give or take in line with customer expectation for delivery. During the year, we delivered more than 500 units. In Q4, it was a record quarter in terms of delivery.

CHRIS QUILTY Analyst, Quilty Space

Understand. And should we expect the deliveries to be relatively even across the year, or is there a seasonal pattern to that?

ADI SVADIA Chief Executive Officer

No. In 2026, we expect it to be linear across the year. Of course, it can be small changes between the quarters, but we expect it to be linear.

CHRIS QUILTY Analyst, Quilty Space

I understand. And staying on IFC, do you have an update on the ESR 2030 terminal? I think that was supposed to be charging early this year for December, is that still on track? And maybe more broadly, what are your evolving thoughts

on what is the sweet spot of the flat panel antenna market, both in terms of their, you know, band or, you know, single beam, dual beam, you know, where could you take it in the due product direction?

ADI SVADIA Chief Executive Officer

So, in terms of the ESR 2030, We passed qualifications and we expect to start delivering production units probably second half of the year. It really depends when GOGO is ready to accept them. We know that GOGO is promoting the terminal and already have some smaller work that they want to install those antennas. So I think it's on track for the year. As for future roadmap, the antenna currently doesn't support simultaneously dual beams. The plans that the next generation of the product will support dual beam, but usually it comes with customer demand. So it's really what matters to the customer. Fast time to market or Here's the time to wait for a new version of antenna with dual beam capabilities.

CHRIS QUILTY Analyst, Quilty Space

Great. And I assume based on the earlier or the delay in the large order, the backlog probably gets below 1,000. Where do you expect it to finish out, say, maybe by mid-year and end of year?

ADI SVADIA Chief Executive Officer

It's a good question. We typically do not disclose the number of units that we have in backlog. I can say that at year end, we are give or take at the same level that we were at the beginning of the year, maybe slightly below. We do expect to finish the year with a backlog that will cover us for at least 2027 and beyond. 2027 and beyond. Great.

LOUIS DEPALMA Analyst, William Blair

Thanks for the .

ADI SVADIA Chief Executive Officer

Thank you, Chris.

CONFERENCE OPERATOR Operator

The next question is from Gunther Calder of Discovery Group. Please go ahead.

GUNTHER CALDER Analyst, Discovery Group

Yes. Thank you. Good morning. Excellent year, excellent quarter. Congratulations. My question is, we haven't heard in a long time about high-speed ground transport, like high-speed rail. There was a project underway, I think, in China on that. Any updates on that in that area?

ADI SVADIA Chief Executive Officer

Indeed, I remember the project in China. I think it was 10 years ago when I just arrived to Gilat. It was promising back then, but since then we didn't see a lot of traction. We do have here and there some terminals that we are selling for fast trains, around the world, but it's in limited numbers. And right now, it's not our main focus. Thank you. Thank you, Gunther.

CONFERENCE OPERATOR Operator

If there are any additional questions, please press star 1 or use the red head button. Please stand by when we pull for more questions. There are no further questions at this time. Mr. Bignamini, would you like to make a concluding statement?

GIL BENYAMINI Chief Financial Officer

Thank you. I want to thank you all for joining us on this call and for your time and attention. We hope to see you soon or speak with you in our next call. Thank you very much and have a great day.

CONFERENCE OPERATOR Operator

Thank you. This concludes the last fourth quarter 2025 results conference call. Thank you for your participation. You may go ahead and disconnect.